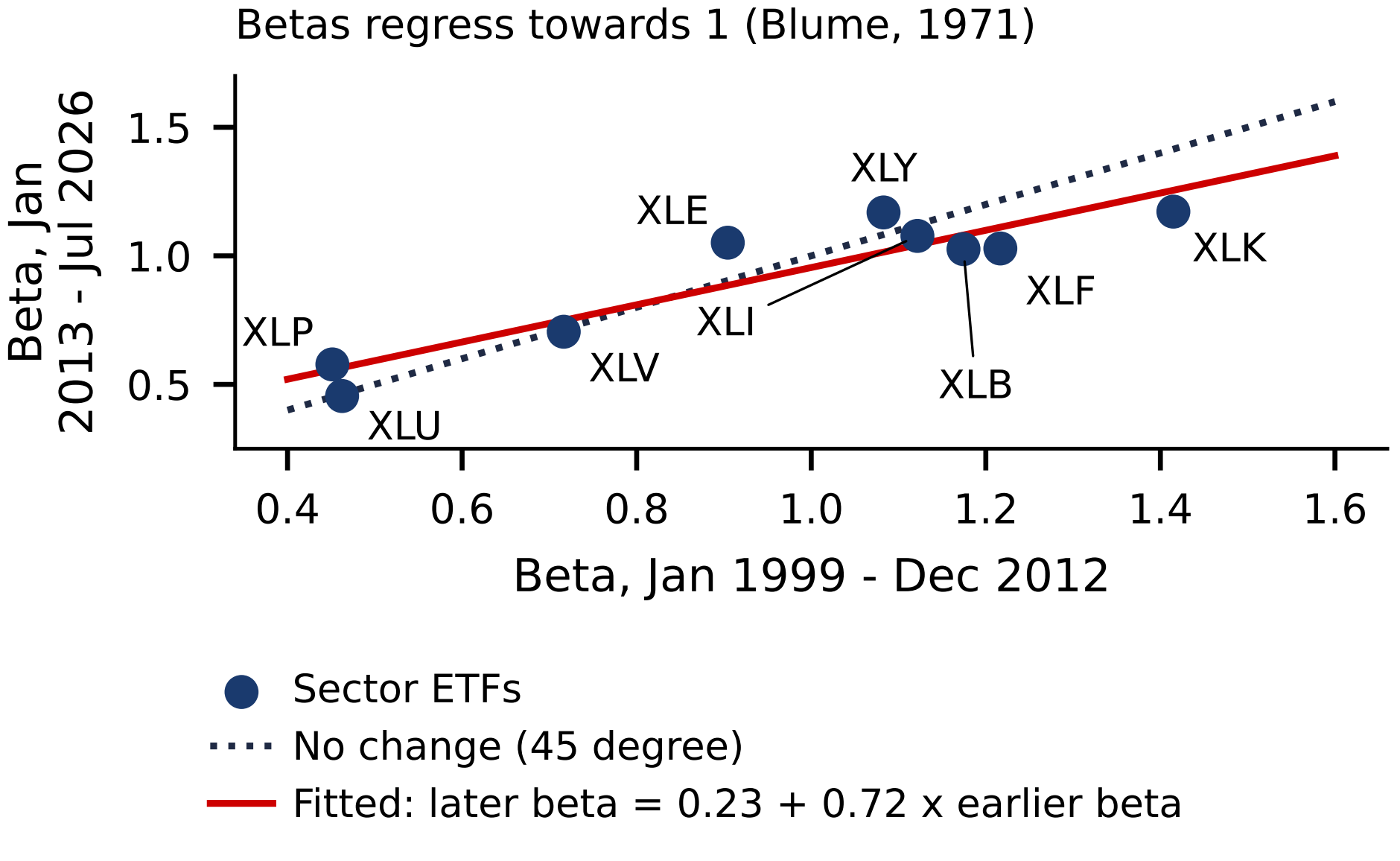
Betas regress towards 1 (Blume, 1971)
Beta, Jan 2013 - Jul 2026
1.5
1.0
0.5
0.4
0.6
0.8
1.0
1.2
1.4
1.6
Beta, Jan 1999 - Dec 2012
XLY
XLE
XLK
XLF
XLI
XLB
XLP
XLV
XLU
Sector ETFs
No change (45 degree)
Fitted: later beta = 0.23 + 0.72 x earlier beta